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The Rich Report

U.S. Economics News:

- **Trade Deficit:** The U.S. goods and services trade deficit widened slightly to $60.3 billion in March, as a $8.7 billion surge in imports — led by autos and computer accessories — outpaced a $6.2 billion rise in exports driven by petroleum products. China's share of U.S. imports continues to erode, falling 40.7% year-over-year in Q1 2026, while Taiwan surged 97.9% on AI-driven demand for high-tech equipment.[3]
- **Petroleum Surplus:** The U.S. posted its largest petroleum trade surplus on record in March, marking 49 consecutive months as a net exporter of petroleum products, as domestic producers ramped up crude oil and refined product exports to offset war-driven disruptions to Strait of Hormuz oil flows.[3]
- **Services Expansion:** The ISM Non-Manufacturing Index slipped to 53.6 in April from 54.0, remaining comfortably in expansion territory, but new orders retreated sharply to 53.5 from a three-year high of 60.6 in March as companies pulled back purchasing amid war-related energy price spikes pushing the prices paid index to 70.7 — its highest since October 2022.[3]
- **New Home Sales:** New single-family home sales surged 7.4% in March to a 682,000 annual rate, rebounding from severe winter weather disruptions in January, though activity remains capped near pre-pandemic levels as the average 30-year fixed mortgage rate has risen roughly 30 basis points since the Iran conflict began, keeping further Fed rate cuts off the table.[3]
- **Rate Cut Outlook:** CPI jumped from 2.4% in February to 3.3% in March 2026, its highest pace since May 2024, driven by energy price shocks from the Strait of Hormuz closure, erasing market expectations for Fed rate cuts — down from more than two anticipated cuts at year-start — though analysts note a resolution to the Iran conflict could rapidly reverse energy prices and revive rate reduction prospects.[3]
- **April Jobs:** Nonfarm payrolls rose 115,000 in April, beating the consensus estimate of 65,000, with private sector gains led by health care (+54,000), transportation and warehousing (+30,000), and retail (+22,000), though net job creation including prior-month revisions was 99,000, and civilian employment — which captures small business activity — dropped 226,000, a cautionary signal.[3]
- **Labor Weakness:** Beneath April's solid headline, the labor force shrank by 92,000 people, pulling the participation rate to 61.8%, its lowest since 2021, while average hourly earnings rose just 0.2% — likely below the monthly inflation rate — and federal payrolls excluding the Post Office and Census are down 337,000 (14%) since January 2025, the steepest federal workforce decline since World War II.[3]

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Digital Assets News:

- **CLARITY Act Progress:** Senators Tillis and Alsobrooks unveiled a pivotal yield compromise within the CLARITY Act framework, drawing a firm line between permissible activity-based rewards — such as those tied to on-chain transactions or network participation — and prohibited bank-equivalent interest payments on stablecoins. The distinction aims to prevent stablecoin issuers from functioning as unregulated deposit-taking institutions while still allowing holders to earn legitimate ecosystem incentives.[5]
- **July 4 Target:** White House adviser Patrick Witt described a July 4th signing as "possible" — framing the date as both a political milestone and a symbolic deadline for the CLARITY Act. While noncommittal, the statement signals the administration is actively pushing for momentum, using Independence Day to underscore the bill's significance and pressure Congress to finalize passage in time.[5]
- **BlackRock Tokenized:** BlackRock filed regulatory paperwork to broaden its tokenized fund offerings, signaling deepening institutional commitment to blockchain-based financial products. The move coincides with explosive growth in the real-world asset sector, where total value locked surged 200% year over year — driven by tokenized Treasuries, private credit, and commodities — as traditional finance increasingly embraces on-chain infrastructure for liquidity and transparency.[5]

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Geopolitics News:

- **China:** Chinese companies continue shipping dual-use goods — including drone engines, chips, fiber-optic cables, and gyroscopes — to Iran and Russia, despite US sanctions. A Chinese firm openly marketed German-designed Limbach L550 engines used in Iranian Shahed attack drones during active hostilities, reflecting Washington's struggle to enforce export controls on low-tech components that move freely through global supply chains.[1]
- **China/US:** Trump's Beijing visit is being framed around a broad agenda covering Iran, Taiwan, AI, nuclear weapons, and trade. The two sides are expected to announce trade and investment facilitation forums, with China likely committing to purchases of Boeing aircraft, agriculture, and energy. A critical minerals deal remains under discussion ahead of formal talks Thursday and Friday.[1]
- **Iran:** US intelligence assessments indicate Iran's nuclear breakout timeline remains unchanged from pre-war estimates of up to one year, suggesting that despite two months of conflict and Israeli strikes on nuclear facilities, significantly degrading the program would require destroying or removing Iran's remaining stockpile of highly enriched uranium.[1]
- **Iran:** Iran released a counter-proposal demanding compensation for war damage, an end to fighting on all fronts including Lebanon, guarantees against further US attacks, lifting of sanctions, and release of frozen assets. Trump immediately rejected it as "TOTALLY UNACCEPTABLE," and oil prices rose as the Hormuz closure persisted, with no clear resolution in sight.[1]
- **Russia/Ukraine:** Putin said he believes the war in Ukraine is "coming to an end," following a US-brokered three-day ceasefire over the Victory Day weekend that included a planned prisoner swap. Putin noted Russia has not yet received Ukraine's response on the prisoner exchange and cautioned the situation remains "serious," while the EU expressed readiness for separate talks with both sides when appropriate.[1]
- **Saudi Arabia:** Saudi Arabia and Kuwait lifted restrictions on US military use of their bases and airspace, removing a critical obstacle to "Project Freedom." The restrictions had been imposed after US officials downplayed Iranian attacks on Gulf states, triggering a significant dispute in Saudi-American military relations. The Pentagon indicated the escorted shipping operation could resume as early as this week.[1]
- **UK:** Reform UK, Nigel Farage's anti-immigration party, made sweeping gains in English local elections, delivering what could be Labour's worst electoral result in a century and intensifying calls for Prime Minister Starmer to resign. Reform campaigned on curbing immigration, scrapping green energy mandates, and cutting government spending, tapping into widespread frustration with stagnant wages and sluggish growth.[1]

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The Good News:

- **Data Center Dividends:** Loudoun County, Virginia — the heart of America's data center boom — now derives nearly half its tax revenue from these facilities, funding smooth roads, well-resourced schools, and low homeowner tax rates. The county's embrace of industrial-scale tech infrastructure challenges NIMBY assumptions and offers a replicable model for communities willing to welcome growth rather than resist it.[2]
- **Early Cancer Detection:** A Mayo Clinic AI model can identify subtle CT scan abnormalities up to three years before pancreatic cancer becomes clinically detectable — a disease notorious for late-stage diagnosis and poor survival rates. In head-to-head comparisons, the AI outperformed trained radiologists threefold at spotting these early signs, and is now entering clinical trials.[2]
- **AI Outdiagnosing Doctors:** A large language model tested in real emergency room conditions correctly identified serious diagnoses — including cardiac events — in roughly 67% of cases, compared to 50–55% for physicians working with the same limited early information. Researchers published the findings in Science, marking a meaningful threshold in AI's clinical utility.[2]
- **AI Research Milestone:** A prominent AI researcher argues there is a 60%-plus probability that fully automated AI R&D — where an AI system can autonomously build its own successor without human involvement — arrives by 2028, based on publicly available progress data. If accurate, it would represent one of the most consequential technological thresholds in history.[2]

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Dividend Portfolio News:

- **ABT:** A Missouri appeals court upheld a $495M ruling against Abbott in a baby formula case, adding legal pressure to the stock. Separately, reports emerged that Trump planned to fire FDA Commissioner Marty Makary, though Trump later said he was unaware of such a plan — creating uncertainty relevant to Abbott's regulatory environment. The stock ended a six-session losing streak mid-week.[4]
- **ATO:** Atmos Energy reported Q2 FY2026 GAAP EPS of $5.92 and raised its fiscal 2026 EPS guidance to $8.40–$8.50, citing a $155M–$165M pretax benefit from Texas Rule 7.7102. The company also declared a $1.00 quarterly dividend, reinforcing its steady utility income profile.[4]
- **BKH:** Black Hills declared a $0.703 quarterly dividend but missed Q1 estimates — Non-GAAP EPS of $1.79 missed by $0.05 and revenue of $780.7M missed by $123M — pointing to near-term operational headwinds.[4]
- **PCAR:** Class 8 truck sales improved in April ahead of the typical seasonal slowdown, a modestly positive signal for Paccar's near-term order environment.[4]
- **QCOM:** Qualcomm was identified as a likely beneficiary of a server CPU super cycle per GF Securities. Separately, OpenAI is reportedly fast-tracking an AI agent phone, a potential tailwind for Qualcomm's mobile chip business. CEO delegation dynamics around the Beijing summit add minor trade uncertainty.[4]
- **STLD:** Steel Dynamics declared a $0.53 quarterly dividend, consistent with its capital return cadence.[4]
- **SYK:** Stryker declared a $0.88 quarterly dividend, continuing its reliable dividend growth track record.[4]
- **VLO:** Valero declared a $1.20 quarterly dividend. An SA analyst upgrade adds a positive sentiment catalyst, though the broader refining environment remains the key earnings driver.[4]

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Growth Portfolio News

- **AMD:** Q1 earnings beat expectations with revenue of $10.25B (+$330M vs. estimates) and Non-GAAP EPS of $1.37 (+$0.08); data center revenue surged 57% Y/Y. Q2 guidance of $11.2B and a server CPU TAM projected above $120B by 2030 drove strong stock rally.[4]
- **COIN:** Q1 results missed across the board — GAAP EPS of -$1.49 (missed by $1.36), revenue of $1.41B (missed by $70M), with total transaction revenue down ~40% and overall revenue down 30.5% Q/Q amid a soft crypto environment. The company cut headcount by ~14%, outlined 2026 adjusted expenses of $4.3B–$4.6B, and is shifting to an AI-native operating model.[4]
- **CWAN:** Clearwater Analytics reported Q1 Non-GAAP EPS of $0.16 in-line with estimates, while revenue of $221.2M beat by $4.85M.[4]
- **FTNT:** Fortinet delivered a strong Q1 beat — Non-GAAP EPS of $0.82 (beat by $0.20), revenue of $1.85B (beat by $120M) — and raised full-year billings guidance to $8.8B–$9.1B, citing AI and OT security demand. Analysts highlighted data center security wins reinforcing Fortinet's AI positioning.[4]
- **HRMY:** Harmony Biosciences Q1 GAAP EPS of $0.55 missed by $0.14 and revenue of $215.3M missed by $5.54M. The company outlined 2026 net revenue guidance of $1B–$1.04B and is targeting a pitolisant GR PDUFA in Q1 2027 as a key pipeline catalyst.[4]
- **HUT:** Hut 8 surged after announcing a $9.8B contract at its Beacon Point AI data campus. Q1 results were released alongside earnings call details: $9M–$11M per MW capex with initial data hall delivery targeted for Q2 2027 as Phase 1 is commercialized. HUT was also among notable weekly gainers in the financials sector.[4]
- **NVDA:** Multiple demand signals strengthened Nvidia's near-term outlook: ByteDance boosted 2026 capex 25% for AI, SoftBank is in talks to build Japanese AI servers with Nvidia, Japan's Datasection is buying $325M in B300 GPUs, and IREN signed a five-year $3.4B AI cloud deal with Nvidia.[4]
- **TSM:** TSMC reported April revenue of NT$410.73B, up 17.5% Y/Y. Applied Materials announced a collaboration with TSMC on next-gen semiconductor technologies. Taiwan Semi and Sony are forming a joint venture for image sensors. An analyst upgrade was issued this week. Global semiconductor sales surged 79% in March, reinforcing TSMC's demand trajectory.[4]

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Summary:

In regard to the United States Economy, several crosscurrents shaped the outlook this week. The trade deficit widened as imports surged — particularly from Taiwan on AI-driven demand — while the U.S. posted its largest petroleum surplus on record. The services sector held in expansion, but new orders retreated sharply. Inflation jumped to 3.3%, driven by Strait of Hormuz energy disruptions, effectively eliminating near-term Fed rate cut expectations and adding pressure to an already cautious economic environment.

In the world of digital assets, regulatory clarity advanced as key senators reached a compromise within the CLARITY Act, distinguishing legitimate on-chain activity rewards from bank-equivalent interest payments on stablecoins. A July 4th signing was described as possible, signaling real political momentum. Meanwhile, BlackRock filed to expand its tokenized fund offerings as the real-world asset sector surged 200% year over year, reflecting traditional finance's deepening commitment to blockchain infrastructure.

Recently around the globe, geopolitical tensions remained elevated. Iran rejected U.S. peace terms outright, keeping the Strait of Hormuz closed and oil prices high. The Trump administration's Beijing summit addressed trade, Taiwan, and AI amid signs of modest cooperation. Gulf states lifted restrictions on U.S. military access, potentially reviving escorted shipping operations. In Europe, Russia signaled the Ukraine conflict may be nearing resolution following a brief ceasefire, while Reform UK's local election gains rattled Britain's political establishment.

For the good news, innovation delivered several encouraging signals. Loudoun County, Virginia demonstrated how data centers can fund excellent public services while keeping homeowner taxes low. A Mayo Clinic AI model now detects pancreatic cancer up to three years early, outperforming radiologists threefold. Separately, an AI system correctly identified serious emergency room diagnoses in 67% of cases versus 50–55% for physicians, with findings published in Science marking a meaningful clinical milestone.

In the news for the dividend portfolio, earnings and declarations dominated activity. Atmos Energy raised full-year guidance and declared its quarterly dividend, reinforcing steady utility income. Stryker, Steel Dynamics, and Valero maintained consistent payments, with Valero receiving an analyst upgrade. Abbott faced legal headwinds from a Missouri court ruling. Qualcomm emerged as a beneficiary of both a server CPU super cycle and AI-driven mobile demand. Black Hills missed estimates, signaling near-term pressure.

And, for the growth portfolio, AMD delivered a strong earnings beat with data center revenue surging 57% year over year, while Nvidia accumulated multiple demand catalysts across Asia. TSMC reported robust April revenue growth alongside a new Sony joint venture. Fortinet raised full-year billings guidance on AI and cybersecurity demand. Hut 8 surged on a major data campus contract. Coinbase disappointed, missing estimates and cutting headcount as it pivoted toward an AI-native operating model.

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